

Apple Inc.
AAPL NASDAQ

Buy \$325.51 ▲ 0.12% 12M Price Target \$360.00 52-Week Range \$225.95 – \$344.57 Market Cap \$4.75T

AAPL: Foldable iPhone Hype Meets Antitrust Relief Rally

WHAT HAPPENED

- AAPL is basically flat today (+0.12%) but that masks a big week — up ~3.5% over 5 sessions and now sitting at 84% of its 52-week range with a \$4.75T market cap. The judge REJECTING the breakup of Google's ad business yesterday is a quiet but huge tell: it signals courts are pushing back on aggressive antitrust remedies, which directly de-risks Apple's own App Store legal overhang.
- The GuruFocus piece on Apple's "\$54B iPhone engine facing its foldable moment" is the narrative fueling the run — the market is starting to price in a foldable iPhone as the next real hardware upgrade cycle, the first genuinely new form factor since 2017.

WHY IT MATTERS

Here's what I think is really going on: the Google antitrust ruling is a bigger deal for Apple than the headlines suggest. If courts won't break up Google's ad business, they almost certainly won't force Apple to unbundle the App Store — that's the single biggest regulatory tail risk hanging over the stock, and it just got smaller. Layer on the foldable iPhone narrative (analysts think a 2027 launch could drive a multi-year refresh cycle on a stagnant install base), and you've got two of the biggest overhangs — regulatory and product stagnation — flipping to tailwinds at the same time. The options flow confirms it: a 0.54 put/call ratio with unusual call buying at the \$325 strike says smart money is positioning for more upside, not hedging.

POLICY & POLITICAL WATCH

Two policy threads matter right now. First, the China tariff situation — Apple still sources a huge chunk of components and assembly from China, and any escalation in the ongoing US-China trade posture hits gross margins directly (every 5% tariff on iPhones is roughly \$3-4B of annual EPS drag if not passed through). Second, the DOJ's ongoing App Store case and the EU's Digital Markets Act enforcement — yesterday's Google ruling suggests US courts are hesitant to impose structural remedies, meaning Apple likely keeps its 30% take rate intact, which is worth tens of billions in high-margin services revenue.

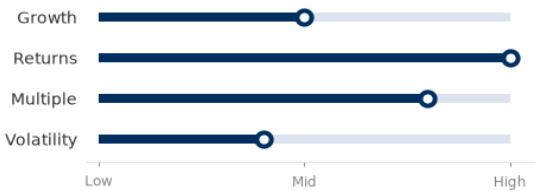
IS IT EXPENSIVE?

At \$325, you're paying about 44x forward earnings — meaning investors are shelling out \$44 for every \$1 Apple earns next year. That's rich compared to Apple's own 10-year average around 25x, and pricey vs. the S&P at ~22x. The bull case says it's justified because Services (30%+ margins) keeps growing and a foldable cycle unlocks new revenue — but make no mistake, at this multiple, a lot of good news is already in the price.

Key Data

Price (USD)	\$325.51
12M Price Target	\$360.00
Upside / (Downside)	+10.6%
Market Cap	\$4.75T
FY2026E Revenue	\$425M
FY2027E Revenue	\$458M
FY2026E EPS	\$7.45
FY2027E EPS	\$8.20
Fwd P/E	43.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$344.00	\$330.00	\$305.00
6 Months	\$375.00	\$345.00	\$290.00
1 Year	\$400.00	\$360.00	\$275.00
2 Years	\$460.00	\$400.00	\$260.00
5 Years	\$600.00	\$480.00	\$300.00
10 Years	\$900.00	\$650.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+1.77% today) is ripping on the Google antitrust win — the whole "Big Tech won't get broken up" trade is back on. Materials leading suggests some cyclical rotation.

COOLING OFF: Tech-adjacent names got mixed reviews — Cramer's cautious take on Nvidia and the Tesla-out-of-Mag-7 chatter show the market is starting to differentiate winners from bubble stocks.

ROTATION WATCH: Money is flowing back into the "safe" mega-cap tech names (Apple, Google) and away from the speculative AI plays. The Google ruling is the catalyst — investors are betting the regulatory boogeyman is dying.

RELATED PLAY: If Apple's foldable narrative gains steam, watch the supply chain — Corning (GLW) for foldable glass and the Asian OLED suppliers benefit before Apple does.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Popped on the ad business breakup rejection — the entire mega-cap tech cohort just got a regulatory reprieve.
- META (Meta Platforms): Riding the same "antitrust risk is fading" tailwind plus AI monetization momentum.

AAPL CONTEXT: Apple is participating in the rally but not leading it — GOOGL was the direct beneficiary of yesterday's ruling. That's actually fine — it means Apple's move is grounded in fundamentals (foldable + Services) rather than a one-day headline pop, which is more durable.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — high quality business with real catalysts, but the valuation is stretched and limits near-term upside.

POSITION SIZE: 4-6% as a core holding — this is a "sleep at night" name, not a swing-for-the-fences trade.

ENTRY POINTS: I'd wait for a pullback to \$310-315 (roughly the 50-day area) before adding. Chasing at \$325 with earnings not for weeks feels late.

TIME HORIZON: 12-24 months — the real catalyst is the foldable iPhone announcement cycle in 2026-27.

WHEN TO BAIL: If iPhone unit sales decline more than 5% YoY, if China tariffs escalate meaningfully, or if the DOJ wins a structural App Store remedy — any of those and I trim.

HEDGING: Buy cheap put insurance around \$300 strike expiring in 3-6 months — costs a fraction of the position and protects you if a China headline breaks bad. Simple, effective.